Much of this book has fixated on the various nuances of buying stocks. This is by no means a summary, but here are seven questions that an investor ought to be thinking about before entering any stock market chakravyuh:

1. Is it a business I understand very well—squarely within my circle of competence?
2. Do I know the intrinsic value of the business today and, with a high degree of confidence, how it is likely to change over the next few years?
3. Is the business priced at a large discount to its intrinsic value today and in two to three years? Over 50 percent?
4. Would I be willing to invest a large part of my net worth into this business?
5. Is the downside minimal?
6. Does the business have a moat?
7. Is it run by able and honest managers?

One should only consider buying if the answer to all seven is a resounding yes. If a well-understood business is offered to you at half or less than its underlying intrinsic value two to three years from now, with minimal downside risk, take it. If not, take a pass on entering this chakravyuh. There will be better chances in the future.

TRAVERSING THE RINGS

It is amazing to me how many investors buy a stock for $10 and then feel uncomfortable when it drops to $8—prompting them to sell the turkey and restart their quest for the next winner. They entered the chakravyuh lured by the reward at its center, but got their head handed to them without even getting past the first ring.

To illustrate, let's imagine that toward the end of 2006, a neighborhood gas station is put up for sale and the owner offers it for $500,000. Further, let's assume that the gas station can be sold for $1,000,000 after 10 years. Free cash flow—money that can be pulled out of the business—is expected